Strategy, Business Model, Lean Startup

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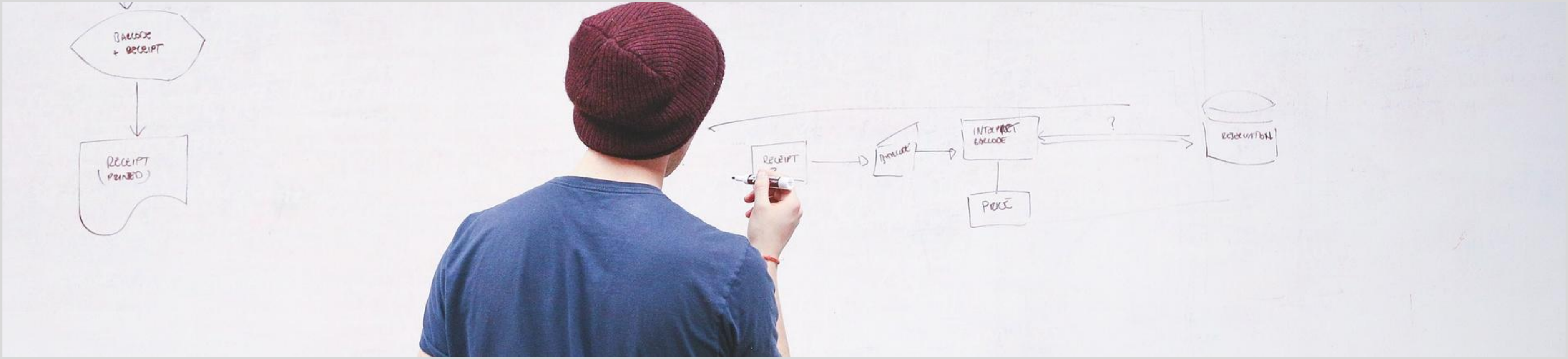

STRATEGY

A strategy is a plan or roadmap for the fundamental behavior of an organization in order to achieve its mission and long-term goals.

(Terzidis, 2017; inspired by Byers and Dorf, 2011)

Strategic management deals with the initiatives taken by entrepreneurs involving the utilization of resources to enhance the performance of firms in their external environments.

(Terzidis 2017; inspired by Nag et al. 2007)

Three key principles for strategic positioning

- Strategy is the creation of a unique and valuable position, involving a different set of activities.
- Strategy requires you to make trade-offs in competing—to choose what not to do.
- Strategy involves creating “fit” (coherence) among a company’s activities.

Porter (2008)

Strategic Framework

Ikigai (‘Life’s Purpose’)

- It strives to balance the need for doing something meaningful with finding a viable position in life.
- This balance is found at the intersection of
  - What you love,
  - What you are good at,
  - What the world needs, and
  - What you can be paid for.

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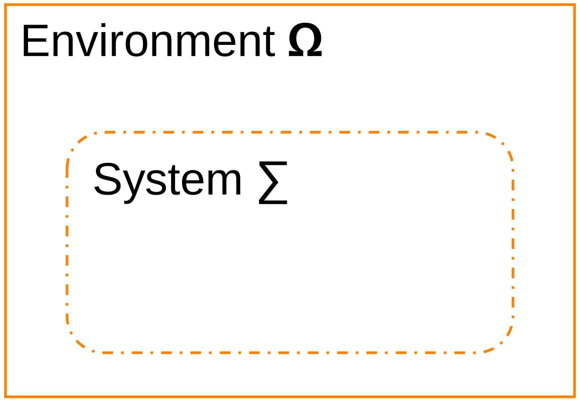
THE FIRM AS A SYSTEM

A firm […] consists of the system of relationships which comes into existence when the direction of resources is dependent on an entrepreneur.

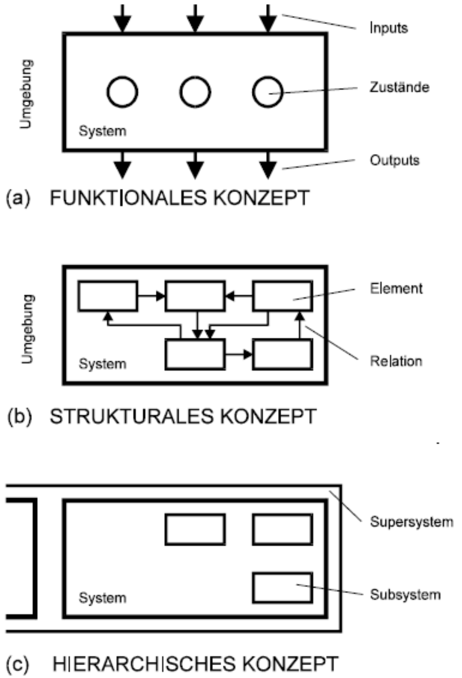
Ronald H. Coase, The Nature of the Firm (1937)



System Theory

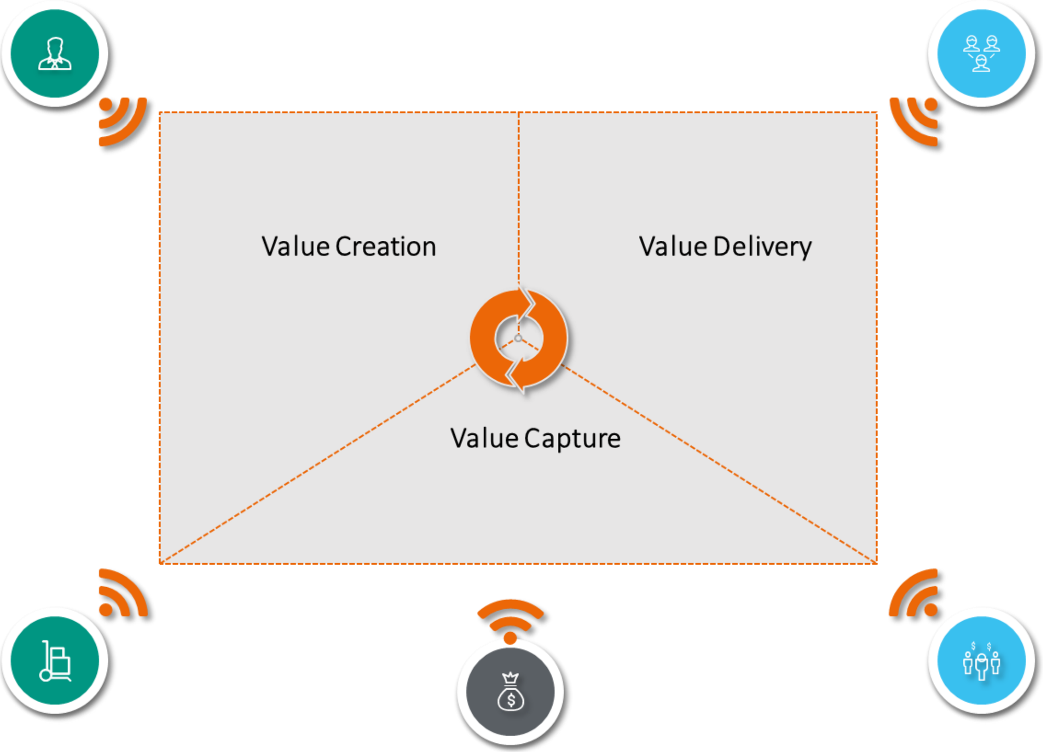
A system is a model of a wholeness, which has interrelated and interdependent subsystems, is delineated by its boundaries, and surrounded by its environment.

There is a functional, structural and hierarchical view on systems.



Inspired by Günter Ropohl (2012)

The Firm as a System



The firm is embedded in five markets:

- Customer market,
- Labor market,
- Capital market,
- Supplier market, and
- Complementary partners.

All markets exist in a regulatory environment.

A market is the place where a supply of products meets the demand for those products, which creates a price.

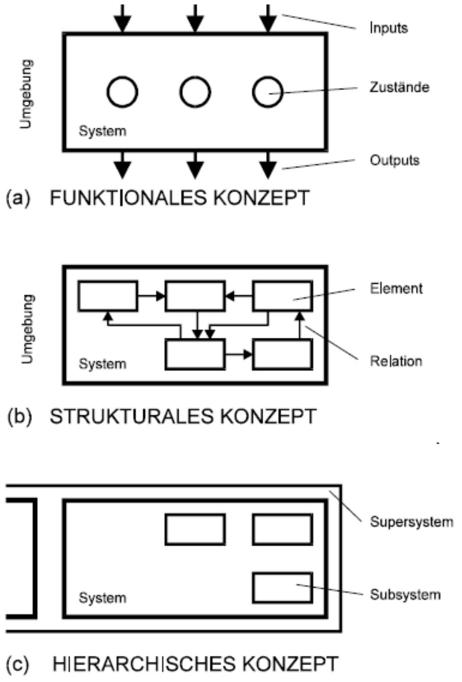
This may occur in a real place (…) or in a virtual place (…).

Market activity is determined by the following actors: Buyers, Providers, Partners, State institutions and Interest groups.

Homburg (2017:2–3)

Strategic positioning revisited

- Strategy is the creation of a unique and valuable position, involving a different set of activities.
- Strategy requires you to make trade-offs in competing—to choose what not to do.
- Strategy involves creating “fit” (coherence) among a company’s activities.



Porter (2008)

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INDUSTRY ANALYSIS

An industry is a group of firms producing products that are close substitutes for each other and serve the same customer.

Byers & Dorf, 2011

Five Steps for an Industry Analysis

- Name and describe the industry.
- Describe the regulatory, political and legal issues in this industry.
- Determine the growth rate of the industry and the state of evolution of the industry.
- Describe the profit potential and the typical return on capital in the industry.
- Describe the competitive forces in the industry and the rivalry among them.

Regulation in Passenger Transportation

- The inter-city bus market was liberalized in Germany in 2013.
- Personenbeförderungsgesetz http://www.gesetze-im-internet.de/pbefg/index.html
- This triggered new entrants.
- They had to comply with clear regulations how to operate.

Industry Lifecycle

Emergence

- Limited Sales
- Few competitors

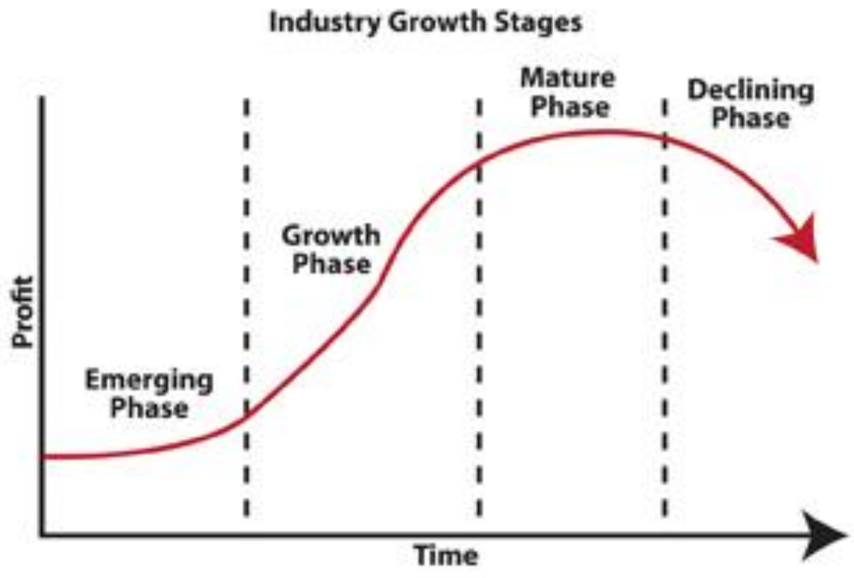
Growth

- Increased sales
- Good timing to enter the market

Maturation

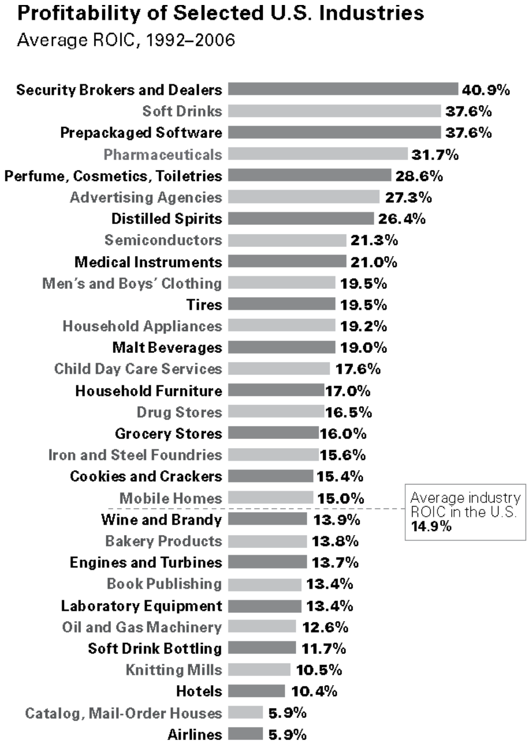
- Less growth
- Consolidation

Decline



Profitability Comparison across Industries

- Depending on the concrete constellation in an industry, the return on invested capital (ROIC) may be very different.
- E.g. Pre-packaged software and soft drinks have > 35% profitability, the airline industry only ~6%.
- Average ROIC 1992-2006 in the US was ~15%.



Porter (2008: 28)

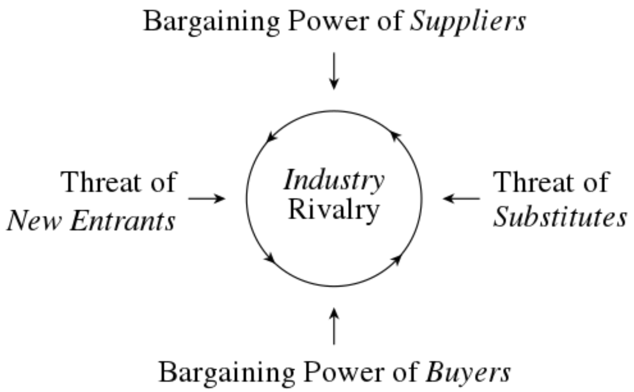
Porter’s Five Forces Model

Three forces from 'horizontal' competition:

- Aspiring entrants can require new investment for you to stay competitive.
- You must stand up to existing competition.
- Substitute offerings can lure customers away.

Two from 'vertical' competition:

- Customers can force down prices by playing you and your rivals against one another.
- Powerful suppliers may constrain your profits if they charge higher prices.



Resource-Based View (RBV)

Sustained competitive advantages exists because firm resources in an industry are not homogeneous and mobile.

Mobility Barriers

- Economies of scale
- Cost advantages independent of scale
- Product differentiation
- Government regulation
- Switching costs

[A firm has] a sustained competitive advantage when it is implementing a value creating strategy not simultaneously being implemented by any current or potential competitors and when these other firms are unable to duplicate the benefits of this strategy.

Barney (1991: 102)

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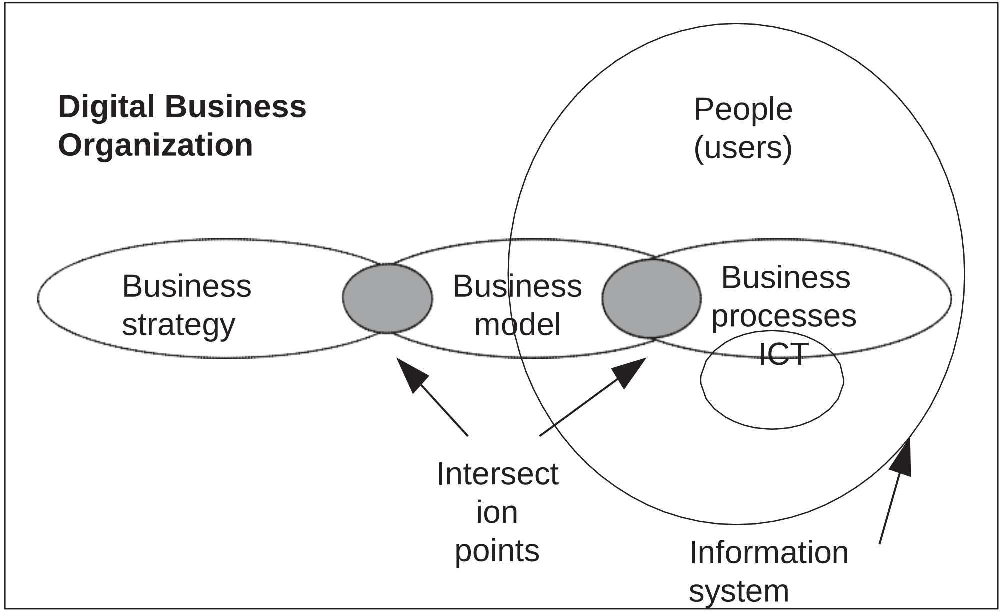
BUSINESS MODELS

Strategy, Business Model, and Processes



The Business Model is an instrument for the coherent implementation of a strategy, based on which operational implementation can take place within the framework of an organizational design or business process model.

Osterwalder and Pigneur (2002)

What is a Model?

Mapping

- A model is a representation of something.

Idealization

- A model is based on a justified abstraction and simplification. Not all elements of reality are mapped.

Pragmatism

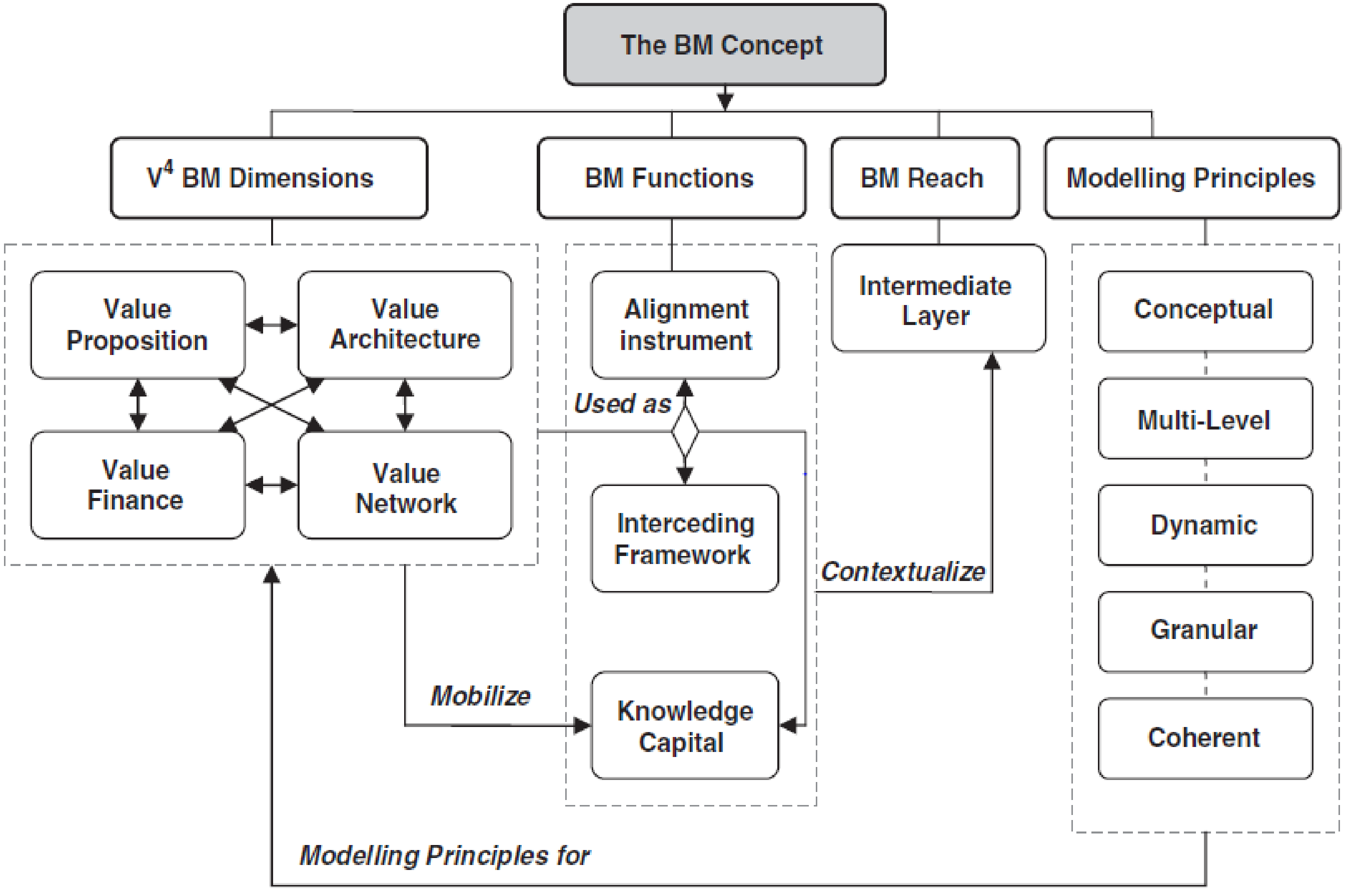
- Models are used in concrete, pragmatic contexts.
- Subjects (for whom?), for a concrete phase or period in time (when?), for certain operations like alignment, communication, and implementation (what for?)

A business model is an idealized and aggregated representation of how a firm creates value for all its stakeholders.

(Terzidis 2017; inspired by Wirtz, 2011; Magritta & Stone, 2002)

Note: Most people use ‘business model’ (the representation) synonymously with ‘business system’ (the reality how a firm operates).

A unified BM Conceptual Framework



V4 Dimensions

Value Proposition

The business logic of creating value for customers and/or to each party involved through offering products and services that satisfy the needs of their target segments.

Value architecture

An architecture for the organization including its technological architecture and organizational infrastructure that allows the provisioning of products and services.

Value Network

A way in which an organization enables transactions through coordination and collaboration among parties and multiple companies.

Value Finance

A way in which organizations manage issues related to costing, pricing, and revenue breakdown to sustain and improve its creation of revenue.

BM Functions

Alignment Instrument

A theoretical tool of alignment providing a crucial instrument (i.e. bridge) for improving harmonization and consistency among strategy and business process including their supportive information systems.

Interceding Framework

A mediating construct or framework that connects technological potentials and innovations with the realization of economic value and the achievement of strategic outcomes.

Knowledge Capital

An intangible and tactical information/knowledge asset useful in supporting strategic decision-making functions, and thus valuable in providing the organization with an enduring competitive advantage.

BM Reach

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Intermediate Layer

An interface or a theoretical intermediate layer between the business strategy and the ICT-enabled business processes.

Nevertheless, it intersects with both: strategy and ICT-enabled business processes.

The BM intersection with strategy represents a set of organization's strategic-oriented choices for business establishment and management, while its intersection with processes signifies a set of business implementation practices and functions.

Modeling Principles

Conceptual

A conceptual tool, an abstraction and a blueprint of the existing business and/or the future planned business.

Multi-level

A way of designing, analyzing and evaluating different units or levels within organizations such as products and services, business unit, an organization, or even a network of organizations.

Dynamic

A dynamic concept as the BM configurations and design change over time reflecting internal and external variations.

Granular

A grainy controllable way of designing and evaluating business as the concept is subdivided into manageable elements.

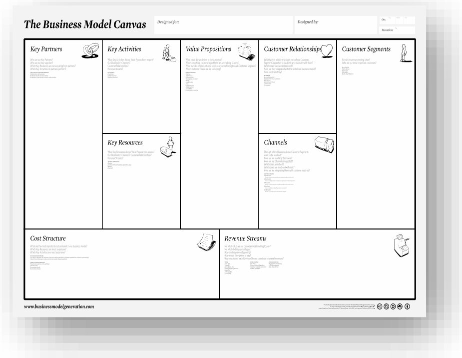
Coherent

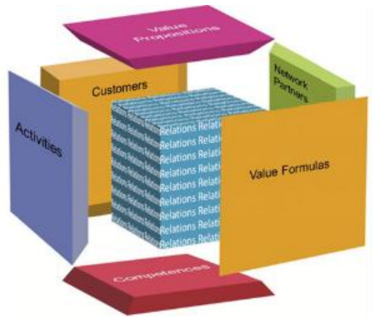
A comprehensive way of depicting a particular business entirely taking into consideration the interlinks between its different aspects.

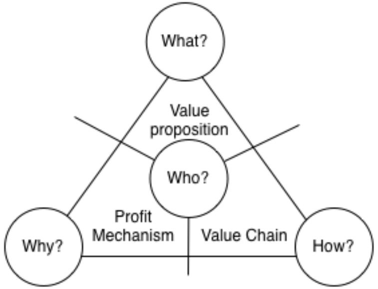
Coherence: Porter's Reflection on 'Fit'

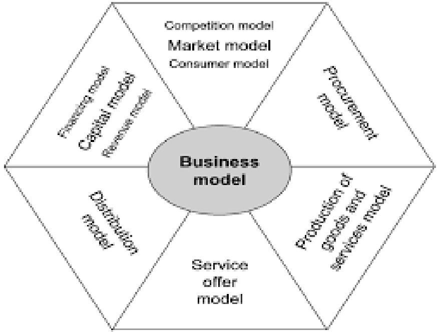
- Fit has to do with the ways a company's activities interact and reinforce one another.
- Fit drives both competitive advantage and sustainability: when activities mutually reinforce each other, competitors cannot easily imitate them.
- Employees need guidance about how to deepen a strategic position rather than broaden or compromise it. About how to extend the company's uniqueness while strengthening the fit among its activities.
- This work of deciding which target group of customers and needs to serve requires discipline, the ability to set limits, and forthright communication. Clearly, strategy and leadership are inextricably linked.

BM Canvas, Cube, Navigator, Integration









The Business Model Canvas

Designed for:

Designed by:

On: Day Month Year

Iteration: No.

Key Partners

Who are our Key Partners?
Who are our key suppliers?
Which Key Resources are we acquiring from partners?
Which Key Activities do partners perform?

MOTIVATIONS FOR PARTNERSHIPS:
Optimization and economy
Reduction of risk and uncertainty
Acquisition of particular resources and activities

Key Activities

What Key Activities do our Value Propositions require?
Our Distribution Channels?
Customer Relationships?
Revenue streams?

CATEGORIES
Production
Problem Solving
Platform/Network

Key Resources

What Key Resources do our Value Propositions require?
Our Distribution Channels? Customer Relationships?
Revenue Streams?

TYPES OF RESOURCES
Physical
Intellectual (brand patents, copyrights, data)
Human
Financial

Value Propositions

What value do we deliver to the customer?
Which one of our customer's problems are we helping to solve?
What bundles of products and services are we offering to each Customer Segment?
Which customer needs are we satisfying?

CHARACTERISTICS
Newness
Performance
Customization
"Getting the Job Done"
Design
Brand/Status
Price
Cost Reduction
Risk Reduction
Accessibility
Convenience/Usability

Customer Relationships

What type of relationship does each of our Customer Segments expect us to establish and maintain with them?
Which ones have we established?
How are they integrated with the rest of our business model?
How costly are they?

EXAMPLES
Personal assistance
Dedicated Personal Assistance
Self-Service
Automated Services
Communities
Co-creation

Channels

Through which Channels do our Customer Segments want to be reached?
How are we reaching them now?
How are our Channels integrated?
Which ones work best?
Which ones are most cost-efficient?
How are we integrating them with customer routines?

CHANNEL PHASES:
1. Awareness
How do we raise awareness about our company's products and services?
2. Evaluation
How do we help customers evaluate our organization's Value Proposition?
3. Purchase
How do we allow customers to purchase specific products and services?
4. Delivery
How do we deliver a Value Proposition to customers?
5. After sales
How do we provide post-purchase customer support?

Customer Segments

For whom are we creating value?
Who are our most important customers?

Mass Market
Niche Market
Segmented
Diversified
Multi-sided Platform

Cost Structure

What are the most important costs inherent in our business model?
Which Key Resources are most expensive?
Which Key Activities are most expensive?

IS YOUR BUSINESS MORE:
Cost Driven (leanest cost structure, low price value proposition, maximum automation, extensive outsourcing)
Value Driven (focused on value creation, premium value proposition)

SAMPLE CHARACTERISTICS:
Fixed Costs (salaries, rents, utilities)
Variable costs
Economies of scale
Economies of scope

Revenue Streams

For what value are our customers really willing to pay?
For what do they currently pay?
How are they currently paying?
How would they prefer to pay?
How much does each Revenue Stream contribute to overall revenues?

TYPES:
Asset sale
Usage fee
Subscription Fees
Lending/Renting/Leasing
Licensing
Brokerage fees
Advertising

FIXED PRICING
List Price
Product feature dependent
Customer segment dependent
Volume dependent

DYNAMIC PRICING
Negotiation(bargaining)
Yield Management
Real-time-Market

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Exercise

Create a business model canvas for Campusjaeger.

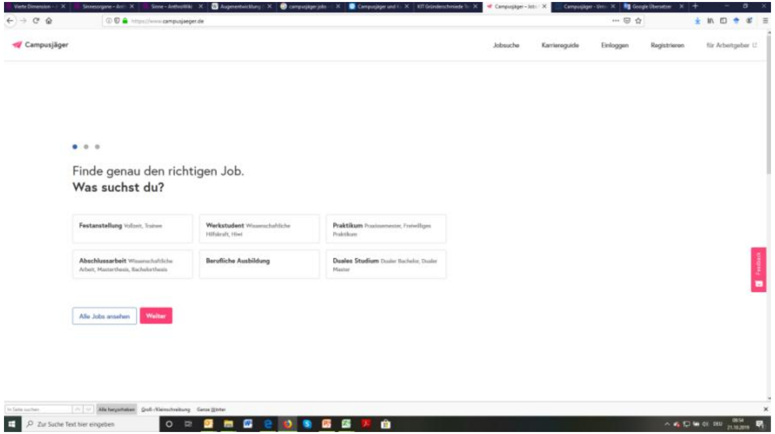
We will discuss it in the Q&A session.

Case: Campusjäger

- The three KIT alumni (industrial engineering) Matthias Geis, Jannik Keller and Martin Trenkle met at the student group PionierGarage.
- They decided to start a business together and implemented their idea of student recruitment.
- In 2013 they founded the Campusjäger GmbH.
- In 2019, they were a team of 59 people, average age 24, 40/60 men/women.

Campusjäger

- Two-sided platform: Students and companies (with focus on SME) benefit from the uncomplicated placement service.
- Students, graduates and young professionals find jobs that suit their needs, whether it is an internship or a career start.
- Companies find young talents that match their job profiles with higher reach and at lower cost than traditional recruitment services.
- Payment occurs only in case of job placement.
- In 2019, over 120.000 student profiles were available.



Limitations of the Business Model Canvas

- Regulation is not mentioned.
- No reflection about the competition and the market.
- No reflection of financing.
- No broader stakeholder analysis.

Software as a Medical Device Business Model Canvas

A business model canvas for startups aiming to develop a Software as a Medical Device in the European Union

Regulatory Compliance

- What key regulations are relevant to us (e.g., MDR or IVDR, EU Artificial Intelligence Act, GDPR)?
- For what reasons do we want to be a medical device (e.g., to make use of specific revenue models, obligation as the software qualifies as SaMD, with no planned alterations to change this categorization)?
- In what risk class does our SaMD fall, and how does this impact the further regulatory steps in the context of the MDR or IVDR?
- Is sufficient clinical data of equivalent devices available or do we need to conduct our own clinical investigation or performance study?
- For what reasons could conducting our own clinical investigation or performance study be beneficial for us (e.g., as a hallmark for quality which can be used as value offering, required for revenue models)?
- Is it reasonable for us to first introduce a non-medical device to the market, followed by a medical device?
- If GDPR applies, how do we ensure compliance in our data processing (e.g., by obtaining and managing informed consent)?

Market & Competitors

- What is our target country?
- How does the healthcare system function in our target country (e.g., Bismarck system)?
- What are market entry barriers (e.g., regulations, switching costs)?
- What characterizes the specific market segment to be entered (e.g., in terms of trends, demand and supply, self-payment mentality)?
- What is the size of our total addressable market, serviceable available, and expected serviceable obtainable market?
- What are our historical, current and potential future competitors?
- What is our competitive advantage?

Financing

- What financial resources do we have (e.g., prize money from pitch competition)?
- What funding options are available to us to close the gap between costs and revenues (e.g., bootstrapping, grants, debt funding, equity funding)?
- Which sequence of funding options is most logical for us (e.g., first bootstrapping and grants)?
- How can we secure follow-up funding early on to avoid falling into a financial gap?

Key Partnerships

- With whom do we partner and why (e.g., clinics or hospitals for clinical investigation or performance evaluation, to increase credibility, and to get access to study participants, health insurer to promote the device)?
- What tasks do our partners take over for us (e.g., strategic investor to raise money and get access to expertise and resources)?
- How do we establish and maintain partnerships?

Key Activities

- What are our key activities (e.g., maintenance of QMS, conducting clinical investigation or performance study, marketing)?
- How should our key MDR or IVDR activities align with state-of-the-art standards such as ISO 13485?
- To what extent could outsourcing activities be disadvantageous or beneficial for us (e.g., dependency on third parties)?
- What key activities are reasonable to outsource?

Key Resources & Team

- What are our key resources required to make our business model work (e.g., human resources, data, patent, digital technology)?
- What competencies do we have in the team to cover the roles necessary for the business model to work?
- What additional human resources are required (e.g., Person Responsible for Regulatory Compliance)?
- How do we obtain and keep key resources?

Value Propositions

- For each customer segment, what value do we offer them (e.g., for physician: time-saving, improved service quality; for health insurer: cost savings in the long-run, attracting new customers with appealing products; for individual patient: improved health outcomes, patient empowerment, time-saving, credibility demonstrated through clinical investigation or performance study)?
- Does our value offering address the underlying needs of each customer segment?
- Are value propositions reflected in claimed clinical benefits supported by clinical evidence?

Customer Relationships

- For each customer segment, what is our customer relationship strategy along the customer journey (e.g., customer hotline, feedback management, loyalty programs, training on the use of SaMD)?
- Is our anticipated strategy in line with the respective desired relationship from customer side?

Channels

- What are our sales channels (e.g., app stores, sales team that approaches physicians)?
- What are our distribution channels (e.g., physicians, health insurer)?
- What are our communication channels (e.g., social media, website)?
- Are the identified channels in line with the channels desired by our customers?
- How do we align with our cooperation partners (e.g., health insurer) on the usage of channels?

Customer Segments

- Who are our customers?
- How can we segment our customers (e.g., payer, user)?
- What characterizes our customers (e.g., age, gender)?
- What are the underlying needs and problems of each customer segment (e.g., health insurer as payer with problem of high expenses and underlying need of saving costs in the long-run; individual patient as user with underlying problem of suffering from a disease and the need to improve quality of life)?

Stakeholder Landscape

- What stakeholders are relevant to us (MDR or IVDR-related, such as notified body, and non-MDR or IVDR-related, such as investor, accelerator, competitors, GDPR-related such as Supervisory Authority)?
- What are the roles, interests, and goals of these stakeholders (except for those analyzed in other components)?
- How are identified stakeholders connected?
- Who are our key stakeholders?

Cost Structure

- What key regulatory-related costs do we encounter (e.g., in the context of MDR or IVDR the clinical investigation or performance evaluation, maintenance of QMS and the required human resources, costs for liability insurance coverage required by the MDR or IVDR)?
- What key non-regulatory costs do we encounter (e.g., marketing)?
- How can costs be minimized (e.g., consider MDR or IVDR-related requirements early on, avoid costly re-certifications in case of major product changes at a later stage, if reasonable aiming for risk class I and therefore minimizing MDR or IVDR-related costs)?

Revenue Model

- What revenue pathway options do we have in the target country for our SaMD (e.g., self-payment, reimbursement by health insurer)?
- What specific reimbursement options do we have in the target country (e.g., selective contracts in Germany)?
- Who are our revenue sources related to our chosen revenue pathway (e.g., individual patients if self-payment)?
- In what order could revenue pathways be beneficial for us (e.g., first self-payment and then medical device with reimbursement via health insurance companies)?
- When can the first revenues be expected?
- How are revenues distributed (e.g., revenue share to the app store)?
- What is the pricing strategy for our SaMD for our revenue pathway?

List of abbreviations used in the canvas:
SaMD = Software as a Medical Device, MDR = Regulation (EU) 2017/ 745 on Medical Devices, IVDR = Regulation (EU) 2017/746 on In Vitro Diagnostic Medical Devices, QMS = Quality Management System, GDPR = General Data Protection Regulation, ISO = International Organization for Standardization, EU = European Union
This canvas was aligned in structure and naming of the components with the Business Model Canvas by Strategyzer.com.

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Martjan, Weimar & Terzidis, 2025

Ten rules for good Business Model Design 1/2

1. Good business model design depends as much on art and intuition as it does on science and analysis.
2. Good business model design requires deep knowledge of customer needs and the technological and organizational resources that might meet those needs.
3. All good business models require an understanding of current business models at work in the market. Most new business model designs involve the hybridizations of others.
4. Alignment and coherence is desirable so that the business model elements will be mutually reinforcing.
5. Strategic analysis must be tied to business model design and vice versa. Strategy guides business model design and is also to some extent shaped by it.

Ten rules for good Business Model Design 2/2

6. Business models should be coupled with strategies and assets that make imitation difficult. Imitation will occur sooner or later, and pioneers must be fast learners.

7. Identifying the customer segment(s) to focus on first in order to learn and achieve proof-of-concept and business model viability is a critical capability.

8. When n-sided markets are involved, getting started early and effectively seeding the n sides is critical.

9. Good business model reengineering skills are an important component of strong dynamic capabilities. They enable proficient seizing.

10. The introduction of new business models into an existing organization is always difficult and may require a separate organizational unit.

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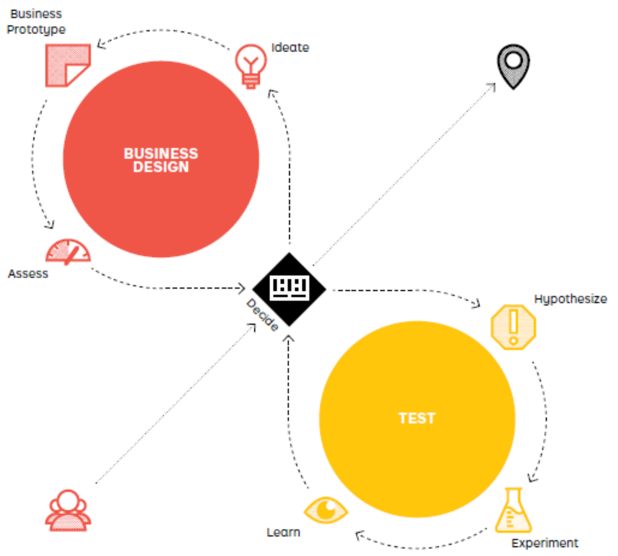
LEAN STARTUP

Design & Test

The core premise behind discovery driven planning is that companies need to be able to plan in such a way that expenses are minimized and learning is maximized.

McGrath, MacMillan 1995



Lean Startup

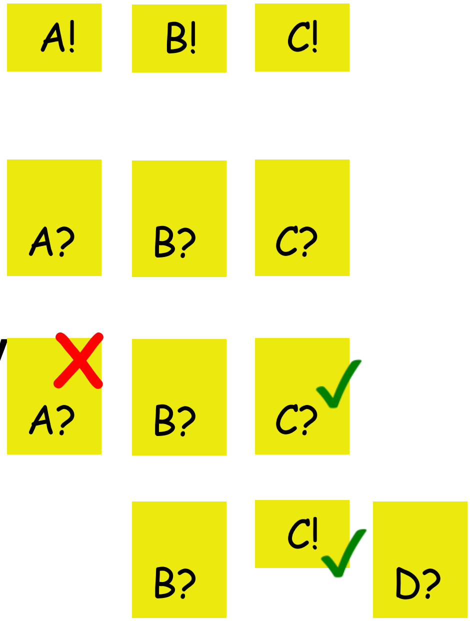
- A startup is a human institution designed to create a new product or service under conditions of extreme uncertainty. (Ries, 2011: 27)

- Lean Startup is a method to systematically reduce the risk of projects with high uncertainty.

Lean Startup in a Nutshell

Karlsruhe Institute of Technology

1. **Plan project**
2. **See plan as hypotheses**
3. **Decrease risk systematically by testing hypotheses**
4. **Adapt plan**



Decrease Risk Systematically

- Your business model rests on many assumptions.
- These assumptions differ in their importance, and in the amount of data, which supports them.

<u>Leap of faith assumption</u>

- Very important and not much data = high risk

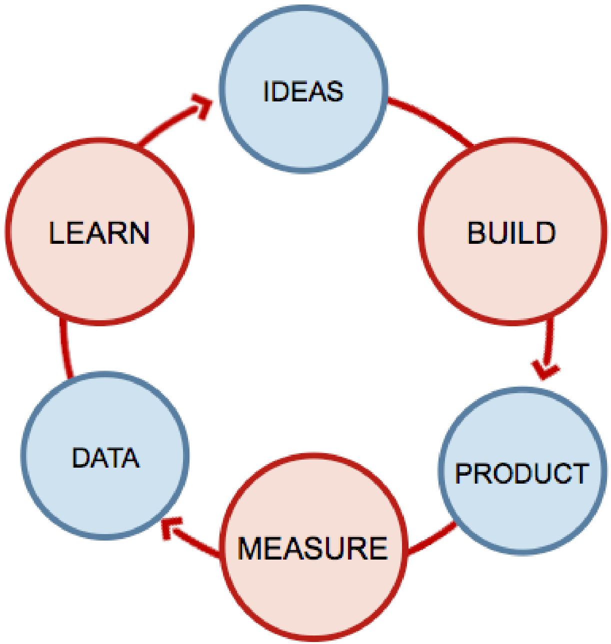
Examples:

- We assume that customers have a significant need for our product like ours.
- We assume that Google Ads can bring us 1000 visitors / day.

Validated Learning

Validated Learning applies a scientific method to building a business.

IDEAS:	**Hypothesis**
BUILD:	**Build experiment**
PRODUCT:	**Minimum viable product**
MEASURE:	**Run experiment, record data**
DATA:	**Collected data**
LEARN:	**Interpret data**



Business Positivism

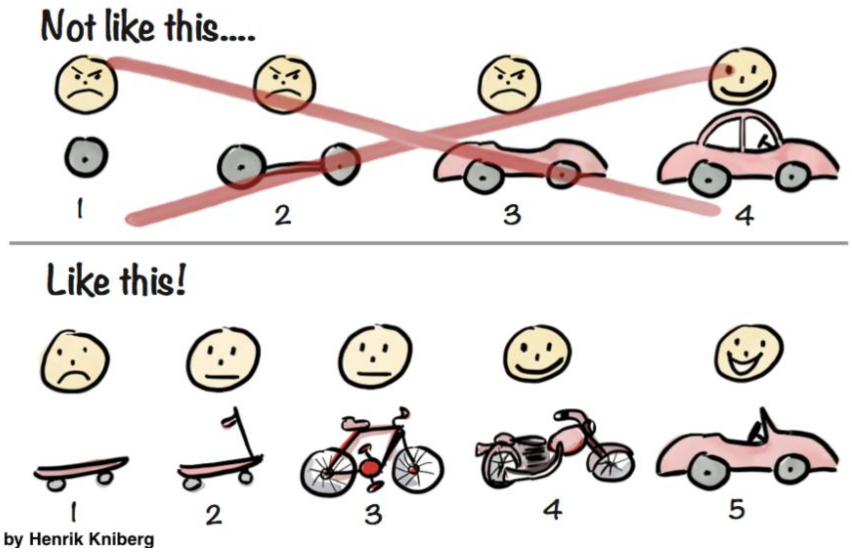
Business modeling is the managerial equivalent of the scientific method – you start with a hypothesis, which you then test in action and revise when necessary.

Joan Magretta (2002: 5)

The Minimum Viable Product is…

…a version of a new product which allows a team to collect the maximum amount of validated learning about customers with the least effort.

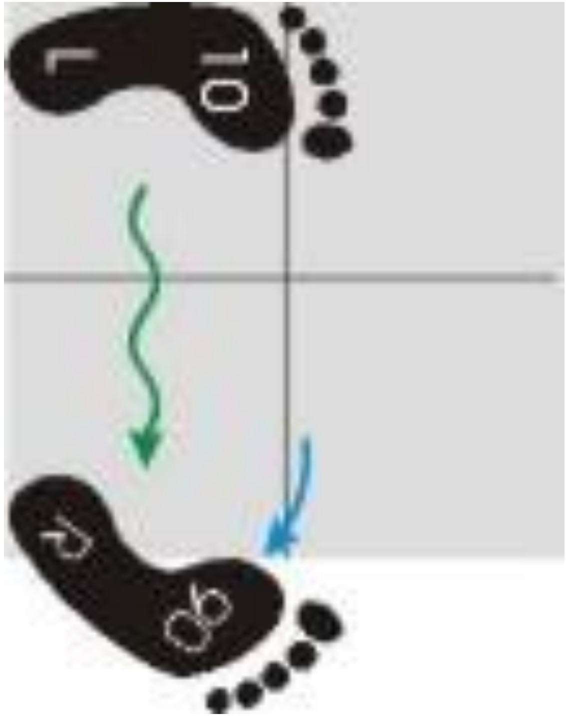
Ries (2011: 77)



A Pivot is a…

…structured course correction designed to test a new fundamental hypothesis about the product, strategy, and engine of growth.

Ries (2011: 103)



Example for Pivot: Groupon

- The company was an online activism platform called The Point.
- After receiving almost no traction, the founders opened a WordPress blog and launched their first coupon promotion for a pizzeria located in their building lobby.
- They realized that their idea was significant, and had successfully empowered people to coordinate group action.
- Three years later, Groupon would grow into a billion-dollar business.

Examples for Experiments: Discovery

Customer, Expert, Partner, & Supplier Interviews

A Day in the Life

Search Trend Analysis

Web Traffic Analysis

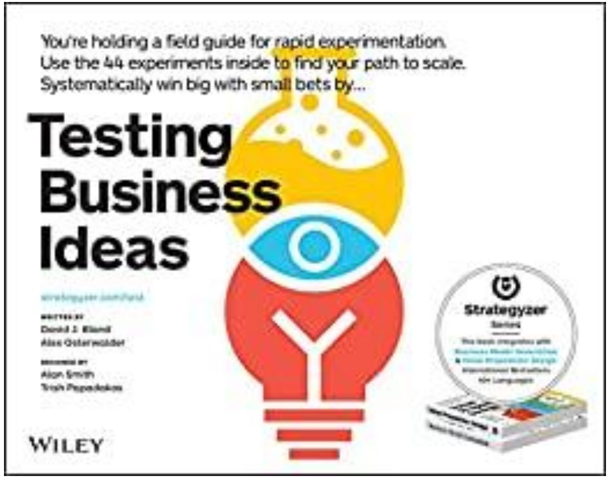
Discussion Forums

…

Product Box

Speed Boat

Card Sorting



Thank You!